

Cal Poly State University
Department of Economics
Spring 2026

Econ 404: International Trade Theory

Instructor:	Matt Cole	Office Hours:	TTH 2:00-3:00
Office:	03-324	Class:	TTH 12:10-2:00
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Course Description: This course will provide you with an overview of international trade theory. We will study the progression of trade theory (from Adam Smith/Ricardo to Melitz/heterogenous firms), multinational activity (horizontal and vertical Foreign Direct Investment – FDI), and trade policy/political economy of trade. It will focus on the microeconomic aspects of international economics. Intermediate microeconomics is a pre-requisite, and I have designed this course for majors in economics.

Book: *International Trade* by Feenstra and Taylor.

Canvas: I will be using Canvas throughout this course to post important documents and make announcements and reminders. Be sure to check it regularly.

Grading: Your final grade is comprised of 4 things - Exams, Homeworks, Podcast summary, and a literature review - with the following weights on each.

Item	Points	
Trade Podcast	12	
Homework	50	(2 assignments at 25 points each)
Lit Review	50	
Midterm	100	
Final	100	
Total	312	

Assume the standard 90, 80, 70,... grading scale. I reserve the right to *curve* the grading scale, but will not make it tougher.

Literature Review: This is meant to get you thinking about a potential project for your senior project in economics. I will provide separate instructions on this.

A Note on Exams: No make-up exams will be given. In the case of a missed midterm due to unanticipated emergency situations, the student will be allowed to put the weight of the missed exam on the final exam, provided I am notified as soon as possible and verification of the emergency is given. A missed final will be given an incomplete, but only in *extremely* extenuating circumstances. Do not take this class if you already know you cannot make one of the scheduled exams.

A Note on Homework: Due to time constraints, only starred (*) problems will be graded. It will be up to you to work on the remainder of the problems. Note that material covered on non-starred problems will likely be covered on exams.

Tentative Outline of Course Material:

- Week 1: Intro and Ricardian Model, Ch 1-2
- Week 2: Specific Factors and Heckscher-Ohlin Models, Ch 3-4
- Week 3: Heckscher-Ohlin Model and Distributional effects, Ch 4-5
- Week 4: Increasing Returns to Scale and Monopolistic Competition, Ch 6
- Week 5: New New Trade Theory (notes)
- Week 6: review, **Midterm Thursday, May 7**
- Week 7: Offshoring of Goods and Services, Ch 7
- Week 8: Import Tariffs and Quotas Under Perfect Competition, Ch 8
- Week 9: Import Tariffs and Quotas Under Imperfect Competition, Ch 9
- Week 10: Catch up and review

Academic Dishonesty Policy: BE HONEST! Any student found guilty of academic dishonesty will earn a grade of an F for the course. In addition to this academic sanction that I will impose, the Dean's Office will be asked to also impose a disciplinary penalty.

Students with Disabilities: If you have a documented disability, please visit the disability resource office <http://drc.calpoly.edu/index.html> as soon as possible.

Respect: I expect you will show respect for your peers in the classroom. This means turning off ringers on cell phones. I expect and welcome questions, and expect that you will respect the right of others to have less than full mastery of the material. In addition, do not make a habit of coming late to class. This should only happen in **rare** occurrence and done so quietly.

General Advice: I encourage students to work together, but note that assignments cannot have identical answers. I also encourage students to visit my office hours as soon as there is a topic they do not understand. A lot of what we do will build upon what we have previously learned and it is important to stay on top of it. Note that email is **not** an appropriate forum to ask questions about the material.

Email: It is surprising how many people do not know how to write a proper email. Below is the bare minimum I expect in order to respond.

Dr. Cole,

I am in your Trade Theory class.... Insert question or comment here....

Your name

Some additional advice is to not ask questions where the answer is in the syllabus or a Canvas announcement. Moreover, I am not your “b.f.f.” and emails are not text messages; use complete sentences and actual words.